CSIS JAPAN CHAIR

Japan Daily Brief

Tuesday, October 27, 2026

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RE: BOJ holds · Okinawa Marine charged · Japan-India missile ties · Cybersecurity package · Fukuda dies at 90

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
63,268.37	157.69	$110.09	1.25%
▼ -2.09%	▼ -0.36%	▼ -2.72%	

TOP STORIES

ALLIANCE

U.S. Marine signals involvement in murder-robbery in Okinawa

Lance Corporal Devin Jacob Ballard, 20, assigned to Marine Corps Air Station Futenma, has been charged with fatally strangling Anna Yagi, 39, with a telephone cord in a Naha hotel room earlier this month and stealing her backpack. The case rekindles Okinawa basing tensions and is the highest-profile USFJ crime incident since the alliance's heightened off-duty conduct talks reported in October.

THE JAPAN TIMES

ECONOMY-BOJ

Bank of Japan is expected to hold rates this week

All respondents to a CNBC survey expect the BOJ to hold its policy rate at *1.25%* at this week's meeting while positioning for a subsequent hike, as Japan's trend inflation index hit a three-year high ahead of the decision. Former BOJ Governor Haruhiko Kuroda has publicly backed continued rate hikes, while his former deputy has urged caution, with the divergence laid out in dueling published books.

CNBC

TECHNOLOGY

Japanese trading platform hit by cyberattack; attackers demand $50 million ransom

A Japanese trading platform suffered a major cyberattack with attackers demanding a *$50 million* ransom, according to Bloomberg; the incident coincides with PM Takaichi's convening of a national cybersecurity meeting and her directive to compile an emergency response package by next week. Separately, a GMO internet-provider cyberattack threatened customer computers, and patient data at an online medical service was accessed without authorization.

BLOOMBERG · OCT 27

DEFENSE

Japan eyes using Indian test ranges for powerful missiles and small attack drones

Tokyo sent officials to India this month to explore the possibility of using Indian test ranges for powerful long-range missiles and small attack drones, the Ground Self-Defense Force's top uniformed officer confirmed;

Japan's own territory lacks suitable sites for testing the extended-range strike systems it is developing as part of its counterstrike capability buildup. The outreach marks a concrete step in deepening Japan-India defense-industrial ties beyond the diplomatic level.

THE JAPAN TIMES

CHINA-JAPAN

Former Japan Prime Minister Yasuo Fukuda dies at 90

Former Prime Minister Yasuo Fukuda — who served from 2007 to 2008 and was known for pursuing dialogue with Beijing — died at 90; Chinese leader Xi Jinping sent condolences and Beijing said China 'will remember Fukuda's contributions to China-Japan relations and to Asia's development.' Fukuda's death removes one of the most prominent voices for institutional China-Japan engagement from Japan's postwar political generation.

NIKKEI ASIA

INDO-PACIFIC

Russia has seized a Japanese journalist, freezing an icy relationship

The Economist reports that Russia's detention of Hokkaido Shimbun reporter Yuki Imai — charged with espionage by the FSB in Sakhalin — has effectively frozen Japan-Russia relations, with the outlet assessing that Vladimir Putin may be positioning for a prisoner swap. Japan's embassy staff in Moscow confirmed contact with Imai today as Tokyo formally urged his release, with Russia maintaining its espionage charges.

THE ECONOMIST

STAT OF THE DAY

$50M

Ransom demanded in cyberattack on Japanese trading platform

A Japanese trading platform was struck by a cyberattack with attackers demanding a $50 million ransom, reported as the BOJ cybersecurity-week intersects with PM Takaichi's emergency package deadline.

Trading Platform Rocked by Japan Hack, $50 Million Ransom — Bloomberg

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · TUESDAY, OCTOBER 27, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi convened a press conference on the passing of former PM Fukuda, directed the government to compile an emergency cybersecurity package by next week, and her active cyber defense posture statement was reported by Asahi and Kyodo.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Takaichi sets next-week deadline for emergency cybersecurity package

PM **Sanae Takaichi** directed the government to compile an emergency cybersecurity response package by next week, citing a surge in cyberattacks on Japanese companies; she separately stated Japan is prepared to 'neutralize sources of cyberattacks,' a reference to active cyber defense capabilities.

→ Kyodo News ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Takaichi holds press conference on passing of former PM Fukuda; sends congratulatory letter to Brazil's President Lula

The Kantei held a formal press conference on the death of former Prime Minister Yasuo Fukuda; PM Takaichi separately issued a congratulatory letter to Brazilian President Lula following Brazil's election result.

→ Kantei ↗

防衛省 · MINISTRY OF DEFENSE (MOD) · *Defense Minister Shinjiro Koizumi*

Koizumi plans bilateral with South Korean counterpart in Cebu; holds defense ministerial with Finland; discusses nuclear weapons policy

Defense Minister **Shinjiro Koizumi** announced plans to meet his South Korean counterpart on the sidelines of a gathering in Cebu; he separately held a Japan-Finland defense ministerial in which he agreed with Finland's defense minister that Japan 'must not be naive' on nuclear weapons policy, as Japan considers whether to allow allied nuclear weapons on its soil.

→ Mainichi ↗

DIET SESSIONS / LDP

GOVERNMENT PANEL (DIET-ADJACENT)

Panel launches talks on foreign agent registration system under anti-espionage law

A government panel began discussions on creating a foreign agent registration requirement under which individuals acting on behalf of foreign governments would have to register with authorities to make their activities transparent; the proposal is part of Japan's broader anti-espionage legislative push.

LDP

LDP proposes unified proportional-representation list and bloc consolidation for lower house elections

The LDP has proposed introducing a 'unified list' and 'bloc integration' mechanism for House of Representatives proportional-representation seats; the Democratic Party for the People expressed a positive reaction to the proposal.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**

Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026 · **23d ago**	**63%**	**33.9%**

Discourse: Kyodo's record-low 49.1% approval reading — the first below 50% by that pollster — reflects accumulated pressure from the Agriculture Minister resignation scandal and rising consumer prices, while Jiji's 42.4% figure is the lowest of any pollster for the Takaichi cabinet.

Poll tracker: **Observing Japan approval-rating aggregator →**

• BUSINESS & ECONOMY

MANUFACTURING · FT · NIDEC

Nidec to sue founder Shigenobu Nagamori over Japan's biggest accounting fraud in a decade

Nidec's board decided to sue founder **Shigenobu Nagamori** and other former executives after an investigation found they bore liability for issues that inflated profits by *$1 billion* over multiple years — described as Japan's largest accounting fraud in a decade.

ENERGY · NIKKEI ASIA

Seven Japanese shipping, shipbuilding and power firms partner on ammonia-fueled vessels for 2030

A consortium of seven Japanese companies spanning shipping, shipbuilding, and power generation agreed to introduce *four* ammonia-fueled vessels by 2030, a concrete step in Japan's maritime decarbonization and energy-security strategy.

MANUFACTURING · JAPAN FORWARD · NIPPON STEEL, US STEEL

Nippon Steel commits $3 billion to expand US Steel Mon Valley plant in Pennsylvania

Nippon Steel announced a *$3 billion* commitment to expand the US Steel Mon Valley Works in Pennsylvania — its largest single outlay in an $11 billion US investment push — projected to bring jobs and tax revenue to the state.

REGIONAL PRESSURE WATCH

Normal — 32 items (Japanese government: 25, adversary signal: 7)

CHINA

Chinese leader Xi Jinping sent condolences over the death of former PM Fukuda, with Beijing stating it 'will remember Fukuda's contributions to China-Japan relations' — a diplomatic signal directed at the pro-engagement wing of Japan's political class. No new China Coast Guard or PLA activity near the Senkakus is reported in today's data; China's sustained rare-earth export-control pressure on Japan continues as the active economic-coercion vector from prior weeks.

NORTH KOREA

Japan conducted its first public live-fire drill with the Type-25 anti-ship missile — a long-range system within reach of North Korea — signaling Japan's counterstrike capability development is moving from procurement to operational demonstration; ASPI analysis warns that Russian military assistance could further degrade the threat environment posed by North Korea's ongoing missile-test campaign.

RUSSIA

Japanese embassy staff in Moscow confirmed they met with detained Hokkaido Shimbun reporter Yuki Imai, confirming his well-being; Japan formally urged Russia to release him, but Russian authorities maintain espionage

charges and continue to hold him in Sakhalin. The Economist assessed this week that Putin may be positioning for a prisoner swap.

Senkaku / ECS: No new China Coast Guard intrusions or PLA activity near the Senkakus is reported in today's data; the pattern of sustained CCG presence from prior weeks continues as the baseline.

> *"China will remember Fukuda's contributions to China-Japan relations and to Asia's development"*
>
> Xi Jinping, President of China · Chinese leader Xi sends condolences over death of former Japanese PM Fukuda

Bottom line: No new kinetic escalation today; the dominant adversary signal is Japan's first public Type-25 anti-ship missile drill and the Russia-held journalist case, where Tokyo confirmed consular contact but no progress on release.

U.S.-JAPAN RELATIONS

ALLIANCE · THE GUARDIAN

US Air Force bans BYD vehicles from Kadena Air Base, Okinawa, citing security concerns

The US military banned vehicles manufactured by China's BYD from Kadena Air Base on Okinawa, effective this week, calling them an 'unacceptable' security risk; the ban extends to delivery drivers and taxis using BYD vehicles and fuels speculation that similar measures could be extended to other US military facilities in Japan. The action reflects the intersection of US technology-security policy and USFJ basing, adding a new dimension to the operational security posture at Kadena.

ALLIANCE · THE JAPAN TIMES

Defense Minister Koizumi signals openness to nuclear weapons policy shift in Finland talks

Defense Minister Koizumi agreed with his Finnish counterpart that Japan 'must not be naive' on nuclear weapons, as the two discussed Finland's decision to allow allied nuclear weapons on its soil and Japan weighs a similar policy direction; the exchange represents an incremental public shift in Japan's long-standing three non-nuclear principles framework and carries direct extended-deterrence implications for the US-Japan alliance.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · MAINICHI

Japan targets ¥1 trillion in private investment in Bangladesh over five years

PM Takaichi said Japan expects *¥1 trillion* ($6 billion) in investment from Japanese companies into Bangladesh over five years, announced at the Japan-Bangladesh summit meeting with Bangladeshi leader Tarique Rahman, who also attended a luncheon hosted by PM Takaichi.

QUAD · NIKKEI ASIA

Japan and Germany partner on fusion energy project including power plant development

Japan is set to partner with Germany on a fusion energy project that includes power plant development, deepening Japan's European technology partnerships in a sector central to its long-term energy security.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

LOWY JAPAN

Takaichi's Yasukuni half-measure satisfies no one

> *PM Takaichi's decision to send a ritual offering to Yasukuni Shrine rather than visiting in person pleases neither Japan's neighbors nor domestic nationalists, leaving the PM politically exposed on both flanks.*

The Lowy Institute piece examines PM Takaichi's Yasukuni approach — a masakaki ritual offering rather than a personal visit — as a compromise that achieves neither diplomatic reassurance for China and South Korea nor the symbolic affirmation sought by Japan's conservative base. The piece frames this as a structural dilemma for LDP leaders who must manage nationalist domestic politics while avoiding the diplomatic costs of a shrine visit. The argument implies the half-measure will recur each year without resolving the underlying tension.

SO WHAT The Yasukuni posture directly affects Japan's diplomatic bandwidth with Seoul and Beijing at a moment when both bilateral relationships are under separate pressure from trade and security friction.

JAPAN ECONOMY WATCH (KATZ)

Defense Hawks' Call for Corporate Tax Hikes Changes The Politics For Funding Household Benefits

> *Defense hawks' push to fund Japan's military buildup through corporate tax increases has reshuffled the fiscal politics of household benefit programs by linking defense spending to the same revenue base.*

The piece argues that LDP defense hawks' embrace of corporate tax hikes as a financing mechanism for the defense buildup — rather than deficit bonds — has created unexpected political coalitions and trade-offs with social spending priorities. It examines how this shifts the debate within the LDP and between the coalition partners on fiscal policy. The analysis connects to PM Takaichi's stated position that the food consumption tax cut must not use deficit bonds.

SO WHAT The corporate-tax-for-defense debate will shape the FY2027 budget and Diet deliberations on the food tax cut, directly affecting the fiscal credibility of Japan's defense buildup.

UPCOMING

Oct 30 — **BOJ Monetary Policy Meeting decision expected**
The Bank of Japan is expected to hold its policy rate at 1.25% this week; all CNBC survey respondents anticipate the BOJ will set the stage for a hike in December or January, with BOJ Governor Ueda expected to signal further movement toward neutral.

Nov 3 — **Emergency cybersecurity package deadline**
PM Takaichi directed the government to compile an emergency cybersecurity response package by next week, citing surging attacks on Japanese firms including the $50 million ransom demand against a Japanese trading platform.

Nov 5 — **US midterm elections — Japan-relevant policy implications**
US midterm elections may shift Congressional dynamics on trade, alliance burden-sharing, and export-control legislation, all of which bear on the US-Japan relationship.

Dec 1 — **BOJ December policy meeting — rate hike window**
Analysts and CNBC survey respondents broadly expect the BOJ's next rate move — a hike from 1.25% toward neutral — at the December or January meeting; Japan's trend inflation index reached a three-year high ahead of the October meeting.

Dec — **Fuel subsidy review: December scaling-back expected**

1 PM Takaichi ordered METI Minister Akazawa to review and scale back gasoline subsidies from December; the LDP has now formally proposed a gradual reduction framework.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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